

POWER-PACKED AGENDA

Reforms in the power sector are key to meeting the exponential growth in demand for electricity

By ANILESH S. MAHAJAN

Reforms in the power sector typically have two main points of focus—make the state DISCOMs (distribution companies) efficient financially as well as operationally and accelerate the process of addition of generation capacity. AT&C (aggregate technical & commercial) losses have come down from 22.3 per cent in 2020/21 to 15.4 per cent in 2023/24, but still need to shrink further (some states continue to be laggards in this). Meanwhile, DISCOMs suffered financial losses to the tune of Rs 68,832 crore in 2022-23. The process of cleaning up the books, streamlining payments and instilling discipline in the GENCOs (generation companies) and TRANSCOs (transmission companies) is an ongoing one. The idea is to make DISCOMs sustainable and capable enough to meet the spurt in power demands. On May 30, when the mercury surged in most parts of the country, the generation units were able to meet the peak demand, which reached 250 GW (and is expected to touch 260 GW as the summer progresses). Peak demand has gone up from 216 GW in 2022 and 230 GW last summer. The growing demand requires Khattar to not only plan new capacity additions but also to push the states to adhere to reforms and continue investments in upgrading the distribution network. ■

▶WHAT NEEDS TO BE DONE

DISCOM REFORMS
Khattar's predecessor in the job, the former bureaucrat R.K. Singh, took a carrot-and-stick approach to lay down the law. Khattar could continue this approach

MANOHAR LAL KHATTAR, *70* | BJP
Minister of Power

↘ **Organisation man** Born in Nindana village in Rohtak, Khattar comes from a Partition-affected family whose roots lie in Jhang district in present-day Pakistan. The ex-Haryana CM is a lifelong RSS man, who joined the organisation in 1977. The bachelor Khattar moved to the BJP in the mid-nineties and was a surprise choice for the CM's post in 2014

↘ **Moving up** After a decade in office, Khattar quit in March to contest the Lok Sabha election from Karnal. His tenure as CM was marked by initiatives like the setting up of an all-women police station and implementing schemes to improve the state's sex ratio

↘ **Switch on** Khattar will have to hit the ground running as the state DISCOMs are in the process of being streamlined